

Discount Leakage Erodes Margin Across the Customer Portfolio

Apex Components — Customer Discount & Margin Analysis

KEY FINDINGS

“Sales reps often discount to close deals quickly, even when customers have limited alternatives.”

— Sales Manager

“Approval thresholds exist, but exceptions are common and not always documented.”

— Finance Director

“Some smaller customers are paying closer to list price than larger customers, but we’re not sure if that reflects value or inconsistent negotiation.”

— VP Sales

CUSTOMER DISCOUNT & MARGIN COMPARISON

Customer	Revenue	List Price	Realized Price	Discount	Gross Margin
Northstar Mfg Group	\$10M	\$100	\$82	18%	41%
Oak Street Industrial	\$8M	\$100	\$76	24%	34%
Pioneer Process Sol.	\$1M	\$100	\$88	12%	46%



Volume is growing but revenue is flat — discount exceptions are granted without visibility or controls. Smaller customers sometimes receive better pricing than strategic accounts.